QuantradeAI

Live Fibonacci Pivot Reversal Options Strategy

Final Strategy Structure — Live Market Analysis & Automated Alerts

Purpose: Automate daily live calculation of Fibonacci Pivot levels, identify 1H support/resistance, select option strikes, calculate pivots on selected strikes, detect liquidity sweeps, confirm entries on 5M, and generate BUY/SELL alerts with SL and targets.

1. Timeframe Structure

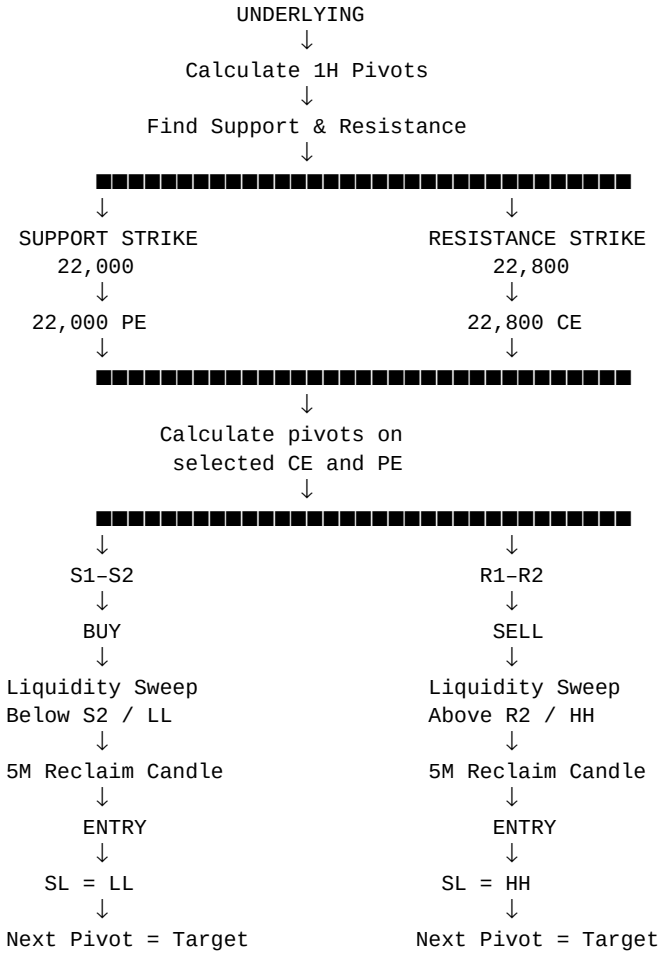
Calculate Fibonacci Pivot levels independently for **Weekly, Daily, 1 Hour and 5 Minute**. The main trading calculation starts with the 1H underlying levels. The 5M timeframe is used for entry timing and confirmation.

2. Fibonacci Pivot Formula

```
P  = (prevHigh + prevLow + prevClose) / 3

R1 = P + 0.382 × (prevHigh - prevLow)
S1 = P - 0.382 × (prevHigh - prevLow)

R2 = P + 0.618 × (prevHigh - prevLow)
S2 = P - 0.618 × (prevHigh - prevLow)

R3 = P + (prevHigh - prevLow)
S3 = P - (prevHigh - prevLow)
```

Use the previous completed period/candle for each timeframe. Do not use future data.

3. Main 1H Trading Structure



4. Strike Selection

Strike selection comes first. Use the underlying's 1H support and resistance to select the nearby option strikes. Do not start by choosing ATM/ITM/OTM arbitrarily.

```
Example:

NIFTY current price = 22,400
1H support          = 22,000
1H resistance       = 22,800

Bullish structure:
BUY  22,800 CE  → resistance-side strike
SELL 22,000 PE  → support-side strike

Bearish structure:
BUY  22,000 PE  → support-side strike
SELL 22,800 CE  → resistance-side strike
```

5. Calculate Pivots on Selected Strikes

After selecting the CE and PE strikes, calculate Fibonacci pivots separately on each selected option premium:

```
Selected CE → P, R1, R2, R3, S1, S2, S3
Selected PE → P, R1, R2, R3, S1, S2, S3
```

6. Core Trading Rule

Simple rule: SELL from R1/R2 and BUY from S1/S2. These are the pivot zones of the selected option strikes.

Selected option zone	Action
S1 → S2	BUY
R1 → R2	SELL

7. BUY Entry — S1/S2 Liquidity Sweep

```
Selected option
      ↓
Price reaches S1–S2
      ↓
Liquidity sweep below S2
      ↓
Record Liquidity Low (LL)
      ↓
Price reclaims support
      ↓
5M candle closes back above support
      ↓
BUY ENTRY
      ↓
SL = LL
      ↓
Next pivot level = TARGET
```

The BUY is not triggered merely by touching S1/S2. The system must first see the sweep below S2, then a reclaim and acceptable 5M candle close.

8. SELL Entry — R1/R2 Liquidity Sweep

```
Selected option
      ↓
Price reaches R1–R2
      ↓
Liquidity sweep above R2
      ↓
Record Liquidity High (HH)
      ↓
Price reclaims/rejects below resistance
```

```
      ↓
5M candle closes back below resistance
      ↓
SELL ENTRY
      ↓
SL = HH
      ↓
Next pivot level = TARGET
```

The SELL is not triggered merely by touching R1/R2. The system must first see the sweep above R2, then a reclaim/rejection and acceptable 5M candle close.

9. Stop Loss

Trade	Liquidity condition	Stop Loss
BUY	Sweep below S2	Liquidity Low (LL)
SELL	Sweep above R2	Liquidity High (HH)

LL/HH must be formed and known before entry. Never use a future low/high for the stop-loss calculation.

10. Target Logic

Targets are based on the selected option strike's own pivot levels. The basic principle is to move from the entry zone toward the next relevant pivot.

```
BUY:
S1/S2 → Entry → next resistance/pivot level → Target

SELL:
R1/R2 → Entry → next support/pivot level → Target
```

11. Daily Automated Live Workflow

```
START OF TRADING DAY
        ↓
Calculate Weekly Pivots
        ↓
Calculate Daily Pivots
        ↓
Calculate 1H Pivots
        ↓
Continuously calculate/update 5M Pivots
        ↓
Read live underlying price
        ↓
Find 1H support and resistance
        ↓
Select support-side and resistance-side strikes
        ↓
Calculate pivots on selected CE and PE
        ↓
Monitor selected option prices
        ↓
S1–S2 = BUY AREA
R1–R2 = SELL AREA
        ↓
Detect liquidity sweep
        ↓
BUY: below S2 → LL
SELL: above R2 → HH
        ↓
Wait for 5M reclaim/rejection candle
        ↓
Generate entry alert
        ↓
Set SL from LL/HH
        ↓
Set next pivot target
```

```
        ↓
Monitor active trade
        ↓
Continue scanning for next valid setup
```

12. Live Dashboard

Field	Required live information
Underlying	Symbol, LTP, current 1H zone
1H Levels	P, R1, R2, S1, S2, R3, S3
Selected CE	Strike, LTP, own P/R1/R2/S1/S2
Selected PE	Strike, LTP, own P/R1/R2/S1/S2
5M Status	Waiting / sweep / reclaim / confirmed
Liquidity	LL for BUY, HH for SELL
Signal	BUY CE / SELL PE / BUY PE / SELL CE
Entry	Price and timestamp
SL	LL or HH
Target	Next pivot level
Status	Waiting / Active / Target / SL

13. Final Strategy in One View

```
UNDERLYING
   ↓
CALCULATE 1H FIBONACCI PIVOTS
   ↓
FIND SUPPORT + RESISTANCE
   ↓
SELECT STRIKES
   ↓
SUPPORT STRIKE + RESISTANCE STRIKE
   ↓
CALCULATE PIVOTS ON SELECTED CE/PE
   ↓
S1–S2 = BUY      |      R1–R2 = SELL
   ↓
LIQUIDITY SWEEP
   ↓
BUY: BELOW S2 → LL
SELL: ABOVE R2 → HH
   ↓
5M RECLAIM / REJECTION CONFIRMATION
   ↓
ENTRY
   ↓
BUY SL = LL     |     SELL SL = HH
   ↓
NEXT PIVOT = TARGET
   ↓
LIVE MONITORING
```

14. Implementation Rules

1. Automate the calculations every trading day.
2. Use completed candles for pivot calculations.
3. Update 5M levels continuously during market hours.
4. Keep CE and PE pivot calculations independent.
5. Do not add RSI, MACD, VWAP, moving averages, AI prediction, Greeks, OI or other filters unless explicitly requested.
6. Do not use future data to identify LL/HH or confirm an entry.
7. First release is for live analysis and alerts; broker order execution is not required unless added later.

Note: This document is a technical trading-system specification. It does not guarantee profitability or future trading performance.